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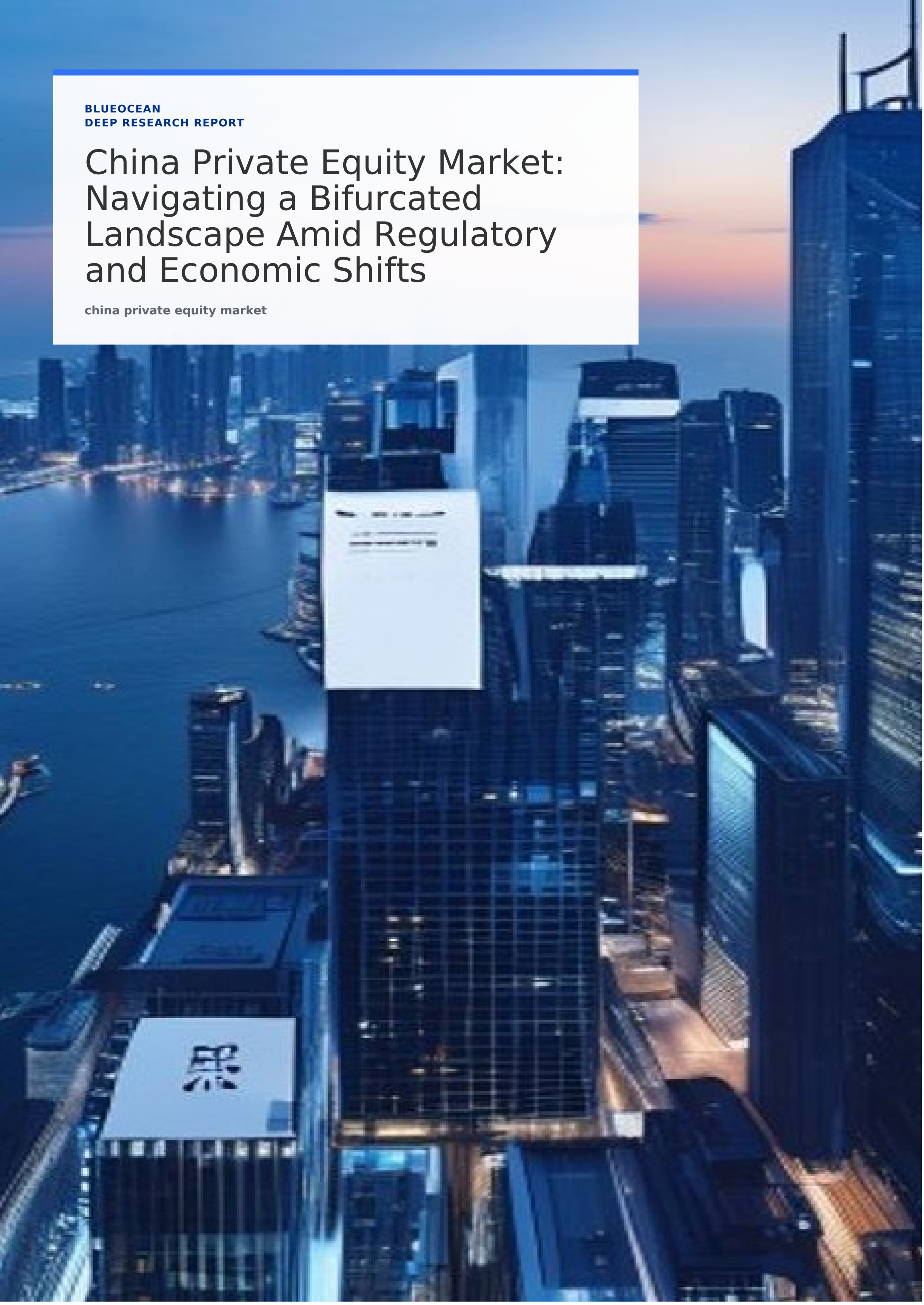
DEEP RESEARCH REPORT

China Private Equity Market: Navigating a Bifurcated Landscape Amid Regulatory and Economic Shifts

china private equity market



KEY HIGHLIGHTS

The report opens with decision-relevant conclusions

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China's private equity market remains one of the largest globally, with AUM exceeding $1.5 trillion as of 2024, but the market is undergoing a structural transformation. Fundraising has slowed sharply from the.

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CHAPTER 1

China Private Equity Market Remains Large but Faces Headwinds from Regulation and Economy

The Chinese private equity market has experienced a remarkable growth trajectory over the past decade, with AUM expanding from approximately $500 billion in 2015 to over $1.5 trillion in 2024. This growth has been supported by a vibrant startup ecosystem, particularly in technology and healthcare, and by government initiatives such as the 'Mass Entrepreneurship and Innovation' campaign. However, the market is now entering a more mature phase, characterized by slower fundraising, more selective dealmaking, and a challenging exit environment. The decline in fundraising from the 2021 peak is not merely cyclical but reflects structural shifts, i.

The economic backdrop adds further complexity. China's GDP growth has slowed to around 4.5% in 2024, down from 5.2% in 2023, and deflationary pressures are evident in producer prices. The property sector, a major driver of past growth, remains in a prolonged downturn, with ripple effects across related industries. Corporate defaults have increased, particularly among highly leveraged firms, and local government financing vehicles face liquidity strains. These macroeconomic headwinds directly impact PE portfolios, depressing valuations and extending holding periods. Nevertheless, certain sectors such as advanced manufacturing, renewable energ.

Regulatory changes have been a defining feature of the market since 2020. The introduction of the Data Security Law (DSL), the Personal Information Protection Law (PIPL), and the Anti-Monopoly Guidelines have reshaped the operating environment for PE investors. These regulations impose stricter requirements on data handling, antitrust reviews for large deals, and foreign investment screening in sensitive sectors. While these rules aim to enhance national security and market order, they have also increased complian.

Geopolitical tensions, particularly between the US and China, have further complicated the landscape. Technology export controls, sanctions on certain Chinese companies, and restrictions on capital flows have limited cross-border dealmaking. The US CHIPS Act and similar measures in Europe have also encouraged a shift in supply chains away from China, affecting sectors like semiconductors and electronics. For PE investors, these tensions create both risks and opportunities. On one hand, they increase uncertainty an.

CHAPTER 2

Fundraising Has Slowed but AUM Continues to Grow as Existing Funds Deploy Capital

The fundraising slowdown is a global phenomenon, but it is particularly acute in China due to specific local factors. LPs are increasingly concerned about regulatory unpredictability, geopolitical risks, and the economic slowdown. A survey by Coller Capital in 2024 found that 45% of institutional investors plan to reduce their China PE allocation over the next two years, up from 30% in 2022. However, this sentiment is not uniform: sovereign wealth funds and pension funds from Asia and the Middle East continue to see China as a strategic market and are maintaining or even increasing allocations. For example, the Abu Dhabi Investment Authority.

The composition of fundraising is also shifting. Domestic currency funds (RMB funds) now account for over 70% of total fundraising, up from 60% in 2020. This shift reflects the growing importance of domestic LPs, including insurance companies, pension funds, and wealthy individuals, as well as the relative decline of foreign capital. Government guidance funds, which are state-backed investment vehicles, have become a significant source of capital, particularly for funds focused on strategic sectors like semiconductors, AI, and renewable energy. These funds often come with policy objectives, such as promoting local economic development or sup.

The deployment of capital has also slowed, with many funds extending their investment periods. The average time to deploy a fund has increased from 3-4 years to 4-5 years, as GPs exercise greater caution in a challenging deal environment. This has led to a buildup of 'dry powder' (committed but uninvested capital), which is estimated at over $400 billion as of mid-2024. This dry powder provides a cushion for future dealmaking but also creates pressure to deploy capital in a market where valuations remain elevated.

Looking ahead, fundraising is expected to remain subdued in 2025, with total commitments likely in the range of $150-180 billion. The market will continue to be bifurcated, with top-tier managers able to raise capital but at smaller fund sizes, while weaker managers may struggle to close. LPs will demand greater transparency, stronger track records, and clearer exit strategies. The trend toward RMB funds is likely to continue, as domestic LPs become more sophisticated and as government guidance funds play a larger.

CHAPTER 3

Deal Activity Is Shifting Toward Technology, Healthcare, and Green Energy Sectors

The technology sector remains the largest and most dynamic area for PE investment in China. Within technology, semiconductors and AI are the top sub-sectors, driven by government initiatives to achieve self-sufficiency and reduce dependence on foreign technology. The National Integrated Circuit Industry Investment Fund (the 'Big Fund') has committed over $50 billion to semiconductor projects, and PE funds are co-investing alongside it. AI startups, particularly in areas like computer vision, natural language processing, and autonomous driving, continue to attract significant capital, despite regulatory scrutiny on data usage. However, the se.

Healthcare has emerged as a resilient and high-growth sector for PE investment. China's aging population, rising healthcare spending, and government support for innovation are driving demand for new drugs, medical devices, and healthcare services. Biotech is a particular focus, with many Chinese companies developing novel therapies for cancer, autoimmune diseases, and rare diseases. PE investors are also active in healthcare services, including hospitals, clinics, and digital health platforms. The regulatory environment for healthcare is generally supportive, with the National Medical Products Administration (NMPA) streamlining drug approval.

Green energy is a rapidly growing area for PE investment, driven by China's commitment to peak carbon emissions by 2030 and achieve carbon neutrality by 2060. The sector includes renewable energy (solar, wind, hydro), electric vehicles (EVs) and their supply chain (batteries, charging infrastructure), and energy storage. China is already the world's largest market for EVs and renewable energy, and government subsidies and regulations continue to support growth. PE investors are particularly active in the battery s.

The shift in deal activity has implications for portfolio construction and risk management. Investors who are overweight in consumer and real estate may need to rebalance toward technology, healthcare, and green energy to capture growth and align with policy priorities. However, these sectors also come with higher valuations and specific risks, such as regulatory changes in technology and pricing pressures in healthcare. Diversification across sub-sectors and stages is important to manage risk. Additionally, the s.

CHAPTER 4

Exit Channels Are Constrained by Weak IPO Markets and Geopolitical Uncertainty

The onshore IPO market, particularly the Shanghai STAR Market and the Shenzhen ChiNext Board, has been a key exit route for PE-backed companies. However, the number of IPOs on these boards has declined in 2024, as regulators have tightened listing criteria and slowed the approval process to improve market quality. The China Securities Regulatory Commission (CSRC) has also increased scrutiny of companies with high valuations or weak fundamentals, leading to a higher rate of withdrawn applications. As a result, many PE-backed companies are waiting longer to go public, and some are exploring alternative exit routes. The average time from invest.

Offshore IPOs, particularly in Hong Kong and the US, have been even more constrained. Hong Kong's IPO market has been weak due to a combination of factors, including a sluggish economy, geopolitical uncertainty, and competition from other listing venues. The number of Chinese companies listing in Hong Kong in 2024 is expected to be 30% lower than in 2021. US IPOs have been severely impacted by the Holding Foreign Companies Accountable Act (HFCAA) and the threat of delisting, which has led many Chinese companies to avoid US listings altogether. While the Public Company Accounting Oversight Board (PCAOB) reached an agreement with Chinese regul.

Trade sales have become an increasingly important exit channel, accounting for 35% of exit value in 2024. Strategic buyers, including domestic and international corporations, are acquiring PE-backed companies to gain access to technology, market share, or supply chain capabilities. However, trade sales are often complex and time-consuming, requiring alignment on valuation, regulatory approvals, and integration plans. Secondary transactions, where PE firms sell their stakes to other investors, have also grown, acco.

Looking ahead, the exit environment is likely to remain challenging in 2025, with IPO markets recovering only gradually. The onshore IPO pipeline remains large, but the approval process will continue to be selective. Offshore IPOs may see some improvement if geopolitical tensions ease, but the structural barriers remain. Trade sales and secondary transactions will continue to grow in importance, but they require GPs to have strong relationships with strategic buyers and secondary investors. For LPs, the extended h.